Our base call sees yields rising to 5.25-5.5% before easing to 4.5-4.75% as inflation cools. Our risky call has US 10-year yields at 6% and German yields at 4%, while our bold call sees systemic stress triggering de facto yield curve control



Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

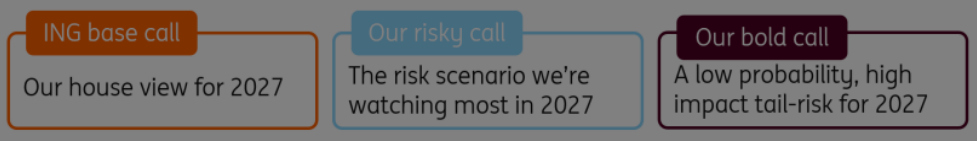
Essential

Performance Cookies

Targeting Cookies

Confirm selection

Accept all



Source: ING

ING's base call: Renewed upward pressure on long rates, but it ultimately wanes

We expect upward pressure on Treasury yields to persist into early 2027, with AI-driven productivity growth, large fiscal deficits and sticky inflation potentially pushing the 10-year towards 5.25-5.50%. The turn should come later as inflation softens and Fed easing expectations return, pulling yields towards 4.50-4.75%. Inflation remains the key threat heading into 2027.

For euro rates, second-round inflation concerns could push 10yr swaps above 4%, but we think markets have gone too far in pricing an ECB terminal rate above 3%. Our end-2027 baseline remains 2.5%, while downside for longer-dated

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

tighter for longer, pushing yields higher across the curve.

Second, AI. A genuine economy-wide productivity boom could lift potential growth and equilibrium real rates. The dot-com era offers a precedent: strong US growth helped push 10-year Treasury yields above 6% despite relatively benign inflation expectations. A comparable AI-driven productivity shock could have a similar effect.

Third, fiscal risk. A sharp deterioration in confidence over US and European fiscal trajectories could generate significant government-bond underperformance versus swaps. In this scenario, the move

toward 6% and 4% would reflect rising fiscal and term premia rather than expectations of tighter monetary policy.

Our bold call: Long tenor rates are forced to lurch lower on official sector intervention

At the extreme, policymakers could decide that rising bond yields pose an unacceptable threat to financial stability. In the eurozone, that could mean the ECB overlooking fiscal recklessness and prioritising the stability of the system and the euro. Existing programmes leave it with considerable firepower to contain yields and fragmentation.

T e
a
t
c
b

T
g
c
4
b
b

Eurozone

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

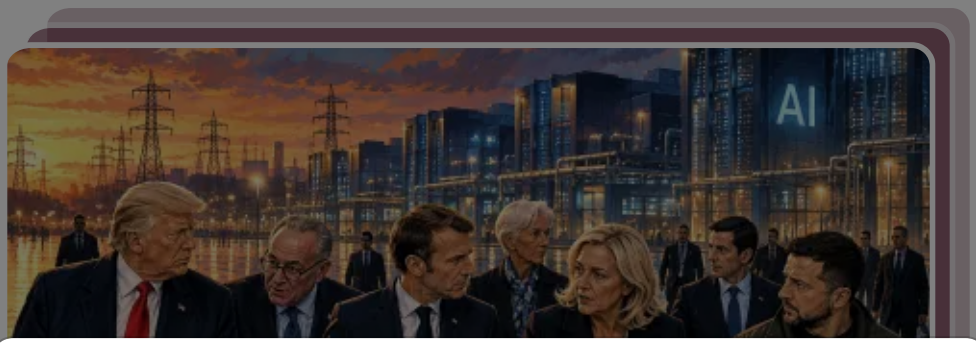
Content Disclaimer

This publication has been prepared by ING solely for information purposes irrespective of a particular user's means, financial situation or investment objectives. The information does not constitute investment recommendation, and nor is it investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument.

Read more

Share Download

Included in the following bundle



Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies